TIP SHEET · TAX YEAR 2026

Tax & money tips for *artists*

Commissions · Etsy & print sales · art fairs · murals · teaching. For your 2026 taxes, filed in 2027.

Income: hobby or business?

- ☐ **Report every sale and commission, 1099 or not.** Platforms send a Form 1099-K when payments top $20,000 *and* 200 transactions; it shows gross payments, before fees, refunds and shipping.
- ☐ **Clients who paid you $2,000 or more** for services in 2026 generally send a Form 1099-NEC by Feb. 1, 2027.
- ☐ **Hobby or business?** Hobby income is still reported (Schedule 1, line 8j). A business files Schedule C and deducts its costs. The IRS looks at whether you run it like a real business: records, time and effort, and changes you make to turn a profit.

Costs to track (business share)

- ☐ **Supplies:** paint, canvas, paper, printing, framing, packaging.
- ☐ **Equipment and software:** iPad, computer, Procreate or Adobe. An IRS rule (the de minimis election) often lets you write off items up to $2,500 each the year you buy them.
- ☐ **Studio:** studio rent, or a space at home used regularly and only for art (simplified method: $5 per sq ft, up to 300 sq ft).
- ☐ **Selling costs:** Etsy listing, transaction and processing fees; shipping labels and postage; art fair booth and jury fees.
- ☐ **Classes** that improve skills you already use (not training for a new career).
- ☐ **Mileage** to fairs, clients and supply runs: 72.5 cents a mile Jan. 1-June 30, 2026; 76 cents from July 1. Keep a log.

Set money aside

- ☐ **Self-employment tax is 15.3%** (12.4% Social Security + 2.9% Medicare) once net earnings reach $400, on top of income tax.
- ☐ **Expect to owe $1,000 or more?** Pay estimated tax (Form 1040-ES). 2026 dates: Apr. 15, June 15, Sept. 15, 2026 and Jan. 15, 2027.
- ☐ **Move a set share of every commission** into a separate savings account the day it lands.

Do you need an LLC?

- ☐ **A one-owner LLC changes little on your federal return by default:** still Schedule C, still self-employment tax.
- ☐ **It is a separate legal entity under state law**, which is the usual reason artists form one.
- ☐ **EIN:** a one-owner LLC needs its own if it has employees (or files excise taxes); otherwise income tax reporting uses the owner's SSN or EIN.
- ☐ **S corp election (Form 2553)** means paying yourself a reasonable salary through payroll, with extra costs; usually worth a look only at higher profit.

Sales tax at fairs and your own site

- ☐ **Etsy collects sales tax** on marketplace sales; your own booth or website is on you. NJ example: register (NJ-REG) 15 business days before selling, collect 6.625%; materials that become the art can be bought with resale certificate ST-3.

Jan. 15, 2027
4th 2026 estimated tax payment

Feb. 1, 2027
1099-NECs due to you from clients

Apr. 15, 2027
2026 return due + 1st 2027 estimate

Want a second set of eyes on your art income?

Our artists page covers deductions, the 1099-K, quarterly tax and LLCs. Or book a 30-minute call. We also form LLCs in all 50 states.

Artists page: **mfa-advisory.com/artists** · Book a call: **mfa-advisory.com/book**

General information, not tax advice. Facts checked October 24-25, 2026. Rules shown are federal unless marked New Jersey. Merchant Financial Advisory · CPA candidate · ACCA · Big Four (ex-PwC) · PTIN/EFIN tax preparer.

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